

Statement 5: Revenue

This Budget includes a range of tax reform measures designed to deliver tax cuts for working Australians, enable more Australians to realise the goal of home ownership, and strengthen incentives for investment and innovation (see *Statement 4: Tax reform for workers, businesses and future generations*).

These reform measures are broadly offsetting over the forward estimates. Total policy decisions taken since MYEFO decrease tax receipts by \$1.8 billion over the five years from 2025–26 to 2029–30. This includes the temporary reduction in fuel excise.

Over the forward estimates, the tax-to-GDP ratio is forecast to fall and remain well below the historical high of 24.2 per cent recorded in 2004–05 and 2005–06. The tax-to-GDP ratio is forecast to fall from 23.8 per cent of GDP in 2026–27 to 23.6 per cent in 2029–30.

Since MYEFO, tax receipts excluding GST and policy decisions have been revised up by \$16.2 billion in 2026–27 and \$34.5 billion over the five years from 2025–26 to 2029–30. The upgrade is concentrated in the near term, with a downgrade in 2029–30.

The upgrade to tax receipts is driven by superannuation fund, personal income, and company taxes, partly offset by a downgrade in tobacco excise. The near-term revision is expected to unwind over the forward estimates period alongside the projected decline in the prices for oil and other key commodities, as well as lower, but still positive, wage and salary income growth.

While the conflict in the Middle East contributes to the upgrade to receipts in the near term, it also weighs on the outlook. In the near term, higher energy export prices lift mining company tax and petroleum resource rent tax receipts. Over time, lower economic activity, investment, and labour demand contribute to a downgrade to receipts. Overall, the conflict is estimated to result in a \$9.5 billion upgrade to tax receipts in net terms over the forward estimates, around a quarter of the upgrade to tax receipts excluding GST and policy decisions.

While economic conditions are currently supporting higher receipts overall, the global economic outlook remains uncertain and volatile. The conflict in the Middle East has created major disruptions in global oil supplies, with risks to domestic inflation and economic activity and the potential for large and negative flow-on implications for the revenue outlook.



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Statement 5: Revenue

Overview

Total receipts are expected to be \$798.1 billion in 2026–27, growing to \$894.8 billion in 2029–30. Since MYEFO, total receipts have been revised up \$21.1 billion in 2026–27 and \$49.9 billion over the five years from 2025–26 to 2029–30. Tax receipts are the main component of total receipts and are expected to be \$737.1 billion in 2026–27, growing to \$826.2 billion in 2029–30.

Since MYEFO, tax receipts have been revised up by \$18.6 billion in 2026–27 and \$38.4 billion over the five years from 2025–26 to 2029–30. Excluding GST and policy decisions, tax receipts have been revised up by \$16.2 billion in 2026–27 and \$34.5 billion over the forward estimates.

The tax-to-GDP ratio is estimated to be 23.8 per cent in 2026–27, falling to 23.6 per cent of GDP by the end of the forward estimates.

More information on total receipts over the forward estimates is shown in Table 5.1.

Table 5.1: Australian Government general government receipts

	Actual	Estimates				
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30
	\$b	\$b	\$b	\$b	\$b	\$b
Total taxation receipts (\$b)	657.8	699.5	737.1	757.0	782.9	826.2
Growth on previous year (%)	3.9	6.3	5.4	2.7	3.4	5.5
Per cent of GDP	23.7	23.6	23.8	23.8	23.5	23.6
Tax receipts excluding GST (\$b)	567.7	603.3	634.0	649.2	668.8	706.2
Growth on previous year (%)	3.5	6.3	5.1	2.4	3.0	5.6
Per cent of GDP	20.4	20.4	20.5	20.4	20.1	20.1
Non-taxation receipts (\$b)	59.1	60.2	61.0	65.9	65.5	68.6
Growth on previous year (%)	7.1	1.9	1.3	8.0	-0.6	4.7
Per cent of GDP	2.1	2.0	2.0	2.1	2.0	2.0
Total receipts (\$b)	717.0	759.8	798.1	822.9	848.4	894.8
Growth on previous year (%)	4.1	6.0	5.0	3.1	3.1	5.5
Per cent of GDP	25.8	25.6	25.8	25.9	25.4	25.5

Tax receipts outlook

Since MYEFO, tax receipts excluding GST and policy decisions have been revised up by \$34.5 billion over the five years from 2025–26 to 2029–30. The upgrade is concentrated in the near term, with tax receipts excluding GST and policy decisions revised up by \$42.1 billion over the first three years, partly offset by a downgrade of \$7.6 billion in 2029–30.

The upgrade in tax receipts reflects higher superannuation fund taxes across the forward estimates, and near-term upgrades to personal income and company taxes. Strength in collections are supporting the upgrade to tax receipts in the near term, with collections in the March quarter \$7.2 billion above what was expected at MYEFO.

Stronger contributions, alongside higher-than-expected collections in 2025–26, are supporting the upgrade to superannuation fund taxes. Superannuation fund taxes have been revised up by \$2.5 billion in 2026–27 and \$13.8 billion over the five years from 2025–26 to 2029–30.

Personal income tax receipts have been revised up by \$6.6 billion in 2026–27 and \$15.0 billion over the five years from 2025–26 to 2029–30. The increase is driven by near-term upgrades in net other individuals, reflecting stronger instalments in 2025–26 and higher expected interest and unincorporated business income.

Company tax has been revised up by \$6.7 billion in 2026–27 but by only \$4.3 billion in total over the five years from 2025–26 to 2029–30. Higher-than-expected collections, an uplift in corporate profits and elevated commodity prices are supporting the upgrade to receipts in the near term. However, company tax receipts have been downgraded in 2028–29 and 2029–30, in line with lower expected company profits owing to lower commodity prices (in Australian dollar terms) due to an appreciation of the Australian dollar and lower economic activity.

Tax receipts upgrades are partly offset by lower tobacco excise receipts. Tobacco excise has been revised down by \$1.2 billion in 2026–27 and \$8.0 billion over the five years from 2025–26 to 2029–30. The downgrade reflects continued weakness in tobacco excise collections and a weaker outlook for excisable tobacco volumes.

GST receipts have been revised up by \$1.7 billion in 2026–27 and \$4.6 billion over the five years from 2025–26 to 2029–30. The upgrade reflects stronger-than-expected collections in the near term, and higher nominal consumption subject to GST over the forward estimates.

Box 5.1 Impact of the conflict in the Middle East on the revenue outlook

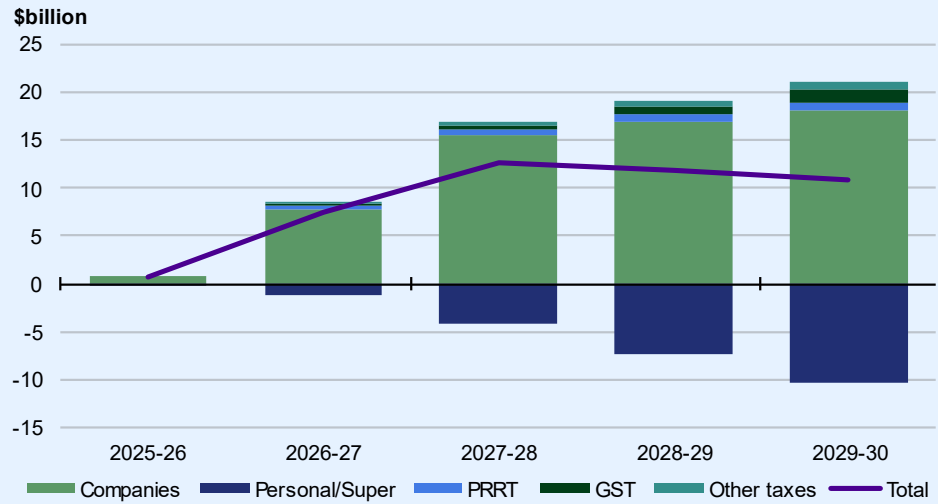
The conflict in the Middle East is increasing global economic uncertainty and volatility and will impact both the domestic economy and the Budget (see *Statement 2: Economic Outlook*). The economic forecasts assume global oil prices peak in the June quarter 2026 and then begin to decline and largely stabilise by mid-2027.

The conflict in the Middle East is expected to result in higher revenue in the near term, with lower revenue in later years. Overall tax receipts are expected be around \$10.9 billion higher (\$9.5 billion excluding GST) over the five years to 2029–30 (Chart 5.1), excluding policy decisions.

In the near term, higher energy export prices, primarily LNG, lift income tax receipts paid by companies by \$19.0 billion. Over time, lower forecasts for economic activity, investment, and labour demand lead to a \$10.3 billion decline in personal income and superannuation tax receipts. Higher prices and nominal consumption increase GST tax receipts by \$1.4 billion.

If the conflict is more protracted than assumed, or it escalates, this would likely lead to lower growth in economic activity, employment and incomes and would provide a further offset to the gains in tax receipts from higher commodity export prices. Further, if the conflict leads to disruptions to the physical supply of products throughout supply chains this would increase the scale of the economic impact and would be detrimental to revenues.

Chart 5.1: Cumulative impact on government revenue



Policy decisions taken since MYEFO increase tax receipts by \$583.9 million in 2026–27 and decrease tax receipts by \$1.8 billion over the five years from 2025–26 to 2029–30. Policy decisions in this Budget focus on the Government’s tax reforms for workers, businesses and future generations; providing cost-of-living relief; and modernising and improving the integrity of the tax system. Key policy decisions include:

- *Tax Reform – cutting taxes with a Working Australians Tax Offset*
- *Tax Reform – Boosting Home Ownership – reforming negative gearing and capital gains tax*
- *Tax Reform – loss refundability reforms for businesses and start-ups*
- *Taking Pressure Off Australians – temporary reduction of fuel excise and heavy vehicle road user charge*
- *Personal Income Tax – increasing the Medicare levy low-income thresholds*

For more details on policy decisions, see *Statement 1*, *Statement 4* and Budget Paper No. 2.

Variations in receipts estimates

Since MYEFO, total receipts have been revised up by \$21.1 billion in 2026–27 and \$49.9 billion over the five years from 2025–26 to 2029–30. Table 5.2 reconciles the 2026–27 Budget estimates of total receipts with the 2025–26 MYEFO and the 2025 PEFO.

Table 5.2: Reconciliation of Australian Government general government receipts estimates from the 2025–26 MYEFO and 2025 PEFO

	Estimates					Total
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m	
Receipts at 2025 PEFO	735,358	765,974	797,383	840,844	*	*
Changes from 2025 PEFO to 2025-26 MYEFO						
Effect of policy decisions	-151	-103	-819	-511	*	*
Effect of parameter and other variations	14,585	11,158	8,989	6,590	*	*
Total variations	14,434	11,055	8,171	6,079	*	*
Receipts at 2025-26 MYEFO	749,792	777,030	805,554	846,923	894,723	4,074,021
Changes from 2025-26 MYEFO to 2026-27 Budget						
Effect of policy decisions	-3,570	2,226	961	862	8,299	8,777
Effect of parameter and other variations	13,551	18,842	16,352	598	-8,228	41,116
Total variations	9,980	21,068	17,313	1,460	71	49,893
Receipts at 2026-27 Budget	759,772	798,098	822,867	848,383	894,794	4,123,914

* Data is not available.

Since MYEFO, parameter and other variations have increased total receipts by \$18.8 billion in 2026–27 and \$41.1 billion over the five years from 2025–26 to 2029–30. Policy decisions increase total receipts by \$2.2 billion in 2026–27 and \$8.8 billion over the five years from 2025–26 to 2029–30. The change to the outlook for total receipts primarily reflects changes to the outlook for tax receipts.

Tax receipts estimates

Tax receipts have been revised up by \$18.6 billion in 2026–27 and \$38.4 billion over the five years from 2025–26 to 2029–30 since MYEFO.

Table 5.3 reconciles the 2026–27 Budget estimates of tax receipts with the 2025–26 MYEFO and the 2025 PEFO.

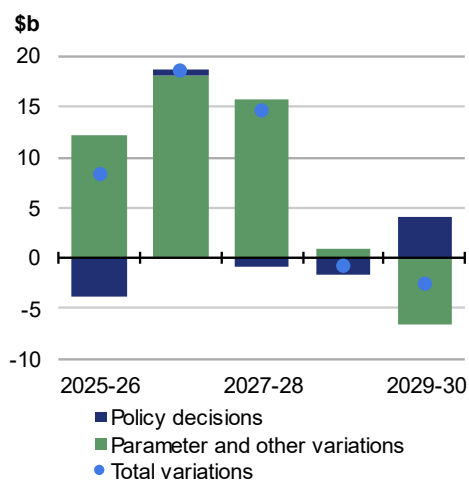
Table 5.3: Reconciliation of Australian Government general government tax receipts estimates from the 2025–26 MYEFO and 2025 PEFO

	Estimates					Total
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m	
Tax receipts at 2025 PEFO	676,086	707,556	735,939	778,266	*	*
Changes from 2025 PEFO to 2025-26 MYEFO						
Effect of policy decisions	-17	-172	-2,527	-966	*	*
Effect of parameter and other variations	15,074	11,101	8,857	6,301	*	*
Total variations	15,056	10,930	6,330	5,334	*	*
Tax receipts at 2025-26 MYEFO	691,142	718,486	742,269	783,601	828,829	3,764,326
Changes from 2025-26 MYEFO to 2026-27 Budget						
Effect of policy decisions	-3,871	584	-962	-1,622	4,047	-1,823
Effect of parameter and other variations	12,257	18,031	15,655	919	-6,636	40,226
Total variations	8,387	18,615	14,693	-702	-2,589	38,404
Tax receipts at 2026-27 Budget	699,529	737,101	756,961	782,898	826,240	3,802,730

* Data is not available.

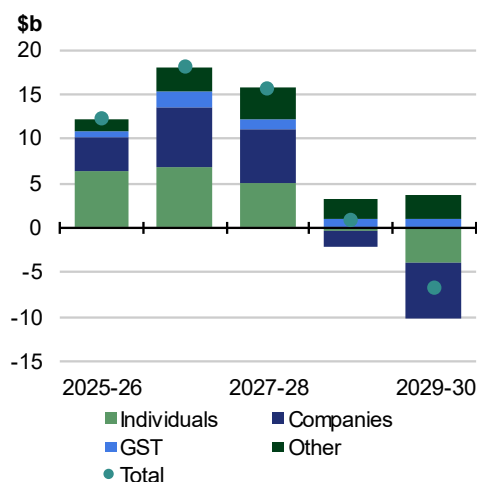
Since MYEFO, parameter and other variations are expected to increase tax receipts by \$18.0 billion in 2026–27 and \$40.2 billion over the five years from 2025–26 to 2029–30. Policy decisions are estimated to increase tax receipts by \$583.9 million in 2026–27 and decrease tax receipts by \$1.8 billion over the five years from 2025–26 to 2029–30.

Chart 5.2: Revisions to total tax receipts since 2025–26 MYEFO



Source: Treasury.

Chart 5.3: Parameter and other variations to total tax receipts since 2025–26 MYEFO



Source: Treasury.

Tax receipts forecasts are based on available information prior to each economic and fiscal update. Growth in the key economic parameters that influence tax receipts is shown in Table 5.4.

Table 5.4: Key economic parameters for tax receipts^(a)

	Outcomes	Forecasts				
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30
Revenue parameters						
Nominal gross domestic product	3.6	6 3/4	4 1/4	2 3/4	4 3/4	5 1/4
Change since 2025-26 MYEFO		1 1/2	1	-2	- 3/4	
Compensation of employees ^(b)	6.2	6 1/4	4 1/4	4 1/2	5	5 1/4
Change since 2025-26 MYEFO		1/2	- 1/4	- 1/2	- 1/2	
Corporate gross operating surplus ^(c)	-2.9	8 1/2	3	-2 3/4	4	5 1/4
Change since 2025-26 MYEFO		4 1/4	4	-6 3/4	-2 3/4	
Non-farm gross mixed income	0.9	6 1/4	7 3/4	5	5 1/2	5 1/2
Change since 2025-26 MYEFO		3/4	1	-1 1/2	-1 1/4	
Property income ^(d)	8.5	6	8	4	4	3 1/2
Change since 2025-26 MYEFO		3 1/4	3	-1 3/4	-2	
Consumption subject to GST	2.6	5 1/4	5 1/4	4 3/4	5 3/4	5 1/4
Change since 2025-26 MYEFO		1/4	0	- 1/2	1/4	

a) Current prices, per cent change on previous year. Changes since 2025–26 MYEFO are percentage points.

b) Compensation of employees measures total remuneration earned by employees.

c) Corporate gross operating surplus is an Australian System of National Accounts measure of company profits, gross of depreciation.

d) Property income measures income derived from rent, dividends and interest.

Source: ABS Australian National Accounts: National Income, Expenditure and Product; and Treasury.

Individuals and other withholding taxes

Since MYEFO, total individuals and other withholding tax receipts have been revised up by \$6.6 billion in 2026–27 and \$15.0 billion over the five years from 2025–26 to 2029–30.

Excluding new policy decisions, individuals and other withholding tax receipts have been revised up by \$6.8 billion in 2026–27 and \$13.9 billion over the five years from 2025–26 to 2029–30.

The increase to individuals and other withholding tax receipts is driven by upgrades to net other individuals (gross other individuals and trusts less refunds). Net other individuals has been revised up by \$4.2 billion in 2026–27 and \$11.3 billion over the five years from 2025–26 to 2029–30, excluding policy decisions. This is in line with recent observed strength in pay-as-you-go instalments and growth in tax owing on 2024–25 returns flowing through to payments in 2025–26. The upgrade to other individuals moderates with interest and business income.

Income tax withholding (predominantly tax on salary and wages) is largely unchanged in total across the forwards estimates since MYEFO. Consistent with changes to the outlook for compensation of employees, income tax withholding has been upgraded in the near term but downgraded in 2028–29 and 2029–30.

New tax policy measures announced since MYEFO are expected to decrease individuals and other withholding tax receipts by \$157.2 million in 2026–27 and increase receipts by \$1.1 billion over the five years from 2025–26 to 2029–30.

The impact of new measures on total individuals and other withholding tax receipts in this Budget largely reflects the introduction of the Working Australians Tax Offset, as well as the Government’s reforms to negative gearing and capital gains tax concessions and the introduction of a minimum tax on discretionary trusts.

Fringe benefits tax

Since MYEFO, fringe benefits tax receipts have been revised up by \$210.0 million in 2026–27 and \$1.3 billion over the five years from 2025–26 to 2029–30. This reflects the stronger outlook for compensation of employees in the near term.

Company tax

Since MYEFO, company tax receipts have been revised up by \$6.7 billion in 2026–27 and \$4.3 billion over the five years from 2025–26 to 2029–30.

Excluding new policy decisions, company tax receipts have been revised up by \$6.7 billion in 2026–27 and \$8.2 billion over the five years from 2025–26 to 2029–30. The upgrade in the near term reflects stronger-than-expected tax collections, alongside elevated prices for non-rural commodities which are supporting profitability in the resources sector. Company profits are also stronger in the non-mining sectors.

Company profits and tax receipts have been downgraded in 2028–29 and 2029–30, driven by lower economic activity and commodity prices (in Australian dollar terms) due to an appreciation of the Australian dollar.

New tax policy measures announced since MYEFO are expected to decrease company tax receipts by \$3.9 billion over the five years from 2025–26 to 2029–30.

The impact of new measures on company tax receipts in this Budget largely reflects the reintroduction of permanent two-year loss carry back for companies with up to \$1 billion in turnover.

Superannuation fund taxes

Since MYEFO, superannuation fund tax receipts have been revised up by \$2.5 billion in 2026–27 and \$13.8 billion over the five years from 2025–26 to 2029–30.

The upgrade to superannuation fund taxes reflects higher-than-expected current-year collections and higher contributions across the forward estimates. The upgrade also reflects lower offsets against tax payable due to a weaker outlook for domestic dividend franking credits.

Superannuation fund taxes are volatile, primarily due to year-to-year changes in earnings on investments and the resulting impact on the timing of tax payments.

Petroleum resource rent tax (PRRT)

Since MYEFO, PRRT receipts have been revised up by \$400.0 million in 2026–27 and \$1.6 billion over the five years from 2025–26 to 2029–30. The upgrade is primarily due to higher oil prices in the near term arising from the conflict in the Middle East and higher production volumes. The higher oil price increases PRRT as most LNG exports are sold under long-term contracts with prices linked to global oil prices.

Goods and services tax (GST)

Since MYEFO, GST receipts have been revised up by \$1.7 billion in 2026–27 and \$4.6 billion over the five years from 2025–26 to 2029–30.

Excluding new policy decisions, GST receipts have been revised up by \$1.8 billion in 2026–27 and \$5.7 billion over the five years from 2025–26 to 2029–30. This primarily reflects stronger-than-expected collections in the near term, and higher nominal consumption subject to GST over the forward estimates.

New tax policy measures announced since MYEFO have flow-on impacts to the GST head of revenue and are expected to decrease GST receipts by \$93.1 million in 2026–27 and \$1.1 billion over the five years from 2025–26 to 2029–30.

Excise and customs duty

Since MYEFO, total excise and customs duty receipts have been revised down by \$1.1 billion in 2026–27 and \$9.7 billion over the five years from 2025–26 to 2029–30.

Excluding new policy decisions, excise and customs duty receipts have been revised down by \$813.5 million in 2026–27 and \$5.4 billion over the five years from 2025–26 to 2029–30. The downgrade reflects the significant downward revision to tobacco excise receipts, partly offset by an increase in fuel excise receipts. This is due to persistently weaker-than-expected collections and a weaker outlook for excisable tobacco volumes over the forward estimates.

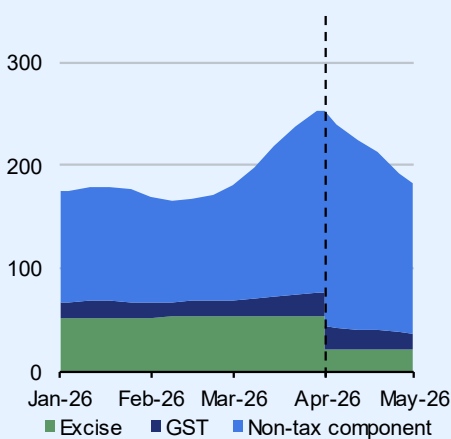
Policy decisions are expected to decrease excise and customs duty receipts by \$326.5 million in 2026–27 and \$4.3 billion over the five years from 2025–26 to 2029–30. This largely reflects the measure *Taking Pressure Off Australians – temporary reduction of fuel excise and heavy vehicle road user charge* which will help to reduce the burden of higher fuel prices by more than halving the fuel excise rate for three months from 1 April 2026 to 30 June 2026.

The 2026–27 Budget estimates continue to include provision for the customs duty impact of the Australia-European Union Free Trade Agreement (A-EU FTA). Negotiations for the A-EU FTA concluded on 24 March 2026 and included an announcement of changes to the luxury car tax, which has also been provisioned for in this Budget. The A-EU FTA will be published as a measure following signature.

Box 5.2 Reducing fuel price pressures on households and businesses

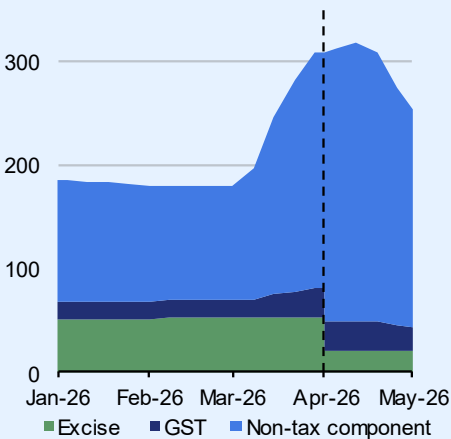
The conflict in the Middle East has increased fuel costs for Australian households and businesses. To help alleviate acute cost pressures, the Government has reduced the fuel excise and excise equivalent customs duty by 60.9 per cent from 1 April to 30 June 2026. This equates to a 32 cent per litre reduction for petrol and diesel. As GST is payable on the full retail price, including excise, this reduction in excise also reduces GST payable by 3.2 cents per litre. Since the measure’s introduction, national average petrol prices have fallen by around 30 per cent and diesel prices have fallen by around 20 per cent (Chart 5.4 and Chart 5.5). The Government has also reduced the Heavy Vehicle Road User Charge (RUC) to zero over the three-month period.

Chart 5.4: Petrol prices
Cents/litre



Source: Australian Institute of Petroleum, ATO, and Treasury.
Note: National average prices.

Chart 5.5: Diesel prices
Cents/litre



Source: Australian Institute of Petroleum, ATO, and Treasury.
Note: National average prices.

Household benefits

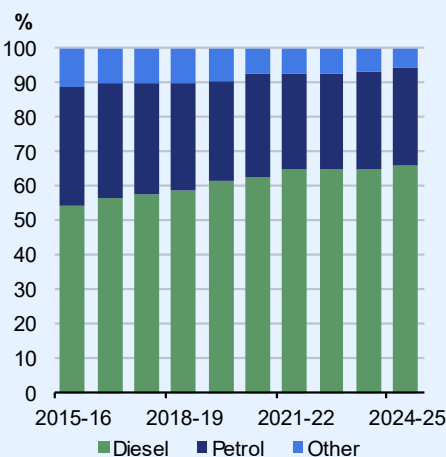
For many households, particularly in regional and outer-suburban areas with limited transport alternatives, affordable fuel is critical. The excise cut provides timely cost-of-living relief for Australian households directly linked to fuel consumed. For example, the tax payable on a 65-litre tank of petrol has been reduced by nearly \$23. A motorist in regional Australia driving 50 kilometres a day, consuming around 10 litres of fuel per 100 kilometres, will save around \$160 over three months. Reducing business transport and other energy related costs will also reduce transport cost pressures for critical goods like food and medicines.

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Box 5.2 Reducing fuel price pressures on households and businesses
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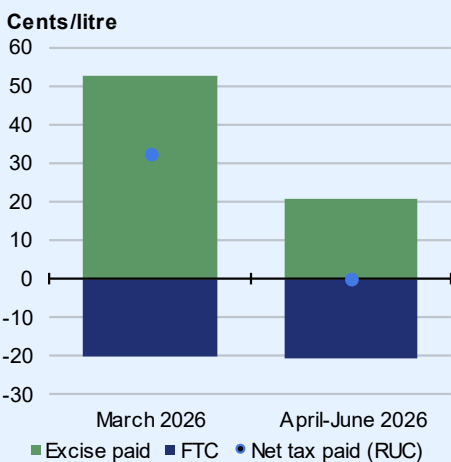
Petrol, largely consumed by households, is around one third of fuel subject to excise, while diesel, mainly consumed by businesses, is around two thirds (Chart 5.6).

Chart 5.6: Fuel shares



Source: ATO.
Note: Based on gross excisable clearances.

Chart 5.7: Heavy vehicle excise and RUC



Source: Treasury.

Business benefits

Businesses that use fuel for vehicles that travel off public roads or for machinery and equipment can generally receive a fuel tax credit (FTC) that fully offsets the fuel excise they have paid. However, fuel used in heavy vehicles on public roads is subject to the Heavy Vehicle RUC. Prior to the measure, heavy vehicle operators paid the RUC of 32.4 cents per litre, equivalent to the full excise rate of 52.6 cents less a partial FTC of 20.2 cents (Chart 5.7). Removing the RUC means heavy vehicle operators also now effectively pay no net excise on fuel.

This measure represents a substantial cost saving for many businesses. For example, a truck travelling 25,000 kilometres over the three months, consuming 55 litres of diesel per 100 kilometres, would save around \$4,500 in RUC.

Overall, this measure will reduce net fuel excise revenue by around \$2.9 billion (\$4.2 billion lower tax revenue and \$1.3 billion lower expenses, mainly FTCs). The States and Territories are contributing \$400 million, with the net cost to the Commonwealth of \$2.5 billion.

Other Australian Government taxes

The Australian Government collects a range of other taxes including the major bank levy, luxury car tax, wine equalisation tax, agricultural levies and visa application charges.

Since MYEFO, other tax receipts have been revised up by \$1.7 billion in 2026–27 and \$7.6 billion over the five years from 2025–26 to 2029–30.

Non-tax receipts estimates

Since MYEFO, forecast non-tax receipts have increased by \$2.5 billion in 2026–27 and \$13.8 billion over the five years from 2025–26 to 2029–30.

Parameter and other variations are expected to increase non-tax receipts by \$0.8 billion in 2026–27 and \$3.2 billion over the five years from 2025–26 to 2029–30. A forecast increase in earnings from the Future Fund and other Australian Government Investment Funds is partially offset by reduced funding contributions from states and territories to the National Disability Insurance Scheme (NDIS) as a result of lower NDIS growth rates from reforms included in the 2026–27 Budget measure *Securing the National Disability Insurance Scheme for future generations*. In addition, non-tax receipts have been revised up by \$2.3 billion in 2029–30 to account for the differences between the projection methodology at MYEFO and the forward estimate in this Budget.

Policy decisions are expected to increase non-tax receipts by \$1.6 billion in 2026–27, and \$10.6 billion over the five years from 2025–26 to 2029–30. This increase is largely driven by the standard non-tax receipts impacts of Pharmaceutical Benefits Scheme listings, which partially offset expenditure impacts of these listings, and receipts expected from the divestment of selected properties in the Defence estate.

Table 5.5: Reconciliation of 2025–26 general government (cash) receipts

	Estimates		Change on MYEFO	
	MYEFO \$m	Budget \$m	\$m	%
Individuals and other withholding taxes				
Gross income tax withholding	312,500	315,300	2,800	0.9
Gross other individuals and trusts	86,000	89,300	3,300	3.8
less: Refunds	40,600	40,400	-200	-0.5
Total individuals and other withholding tax	357,900	364,200	6,300	1.8
Fringe benefits tax	5,310	5,310	0	0.0
Company tax	144,700	148,500	3,800	2.6
Superannuation fund taxes	30,010	33,060	3,050	10.2
Petroleum resource rent tax	1,500	1,400	-100	-6.7
Income taxation receipts	539,420	552,470	13,050	2.4
Goods and services tax	95,654	96,341	688	0.7
Wine equalisation tax	1,160	1,110	-50	-4.3
Luxury car tax	1,120	1,150	30	2.7
Excise and customs duty				
Petrol	7,300	6,400	-900	-12.3
Diesel	17,610	15,110	-2,500	-14.2
Other fuel products	1,680	1,500	-180	-10.7
Tobacco	5,450	4,130	-1,320	-24.2
Beer	2,710	2,710	0	0.0
Spirits	3,270	3,270	0	0.0
Other alcoholic beverages(a)	1,810	1,840	30	1.7
Other customs duty(b)	2,010	1,910	-100	-5.0
less: Refunds and drawbacks	1,380	1,940	560	40.6
Total excise and customs duty	40,460	34,930	-5,530	-13.7
Major Bank Levy	1,880	1,920	40	2.1
Agricultural levies	707	673	-34	-4.8
Visa application charges	4,576	4,668	92	2.0
Other taxes	6,166	6,267	101	1.6
Indirect taxation receipts	151,722	147,059	-4,663	-3.1
Taxation receipts	691,142	699,529	8,387	1.2
Sales of goods and services	21,528	21,760	232	1.1
Interest received	9,103	9,329	226	2.5
Dividends and distributions	7,558	7,630	73	1.0
Other non-taxation receipts	20,460	21,523	1,063	5.2
Non-taxation receipts	58,649	60,243	1,593	2.7
Total receipts	749,792	759,772	9,980	1.3
<i>Memorandum:</i>				
Total excise	31,680	28,180	-3,500	-11.0
Total customs duty	8,780	6,750	-2,030	-23.1
Capital gains tax(c)	31,500	33,600	2,100	6.7

- a) 'Other alcoholic beverages' are those not exceeding 10 per cent by volume of alcohol (excluding beer, brandy and wine).
- b) 'Other customs duty' includes duty paid on textiles, clothing and footwear, passenger motor vehicles and other imports that are not subject to excise equivalent duty.
- c) 'Capital gains tax' is part of gross other individuals and trusts, company tax and superannuation fund taxes.

Table 5.6: Reconciliation of 2026–27 general government (cash) receipts

	Estimates		Change on MYEFO	
	MYEFO \$m	Budget \$m	\$m	%
Individuals and other withholding taxes				
Gross income tax withholding	328,700	331,100	2,400	0.7
Gross other individuals and trusts	89,500	94,100	4,600	5.1
less: Refunds	42,400	42,800	400	0.9
Total individuals and other withholding tax	375,800	382,400	6,600	1.8
Fringe benefits tax	5,370	5,580	210	3.9
Company tax	147,300	154,000	6,700	4.5
Superannuation fund taxes	29,110	31,560	2,450	8.4
Petroleum resource rent tax	1,500	1,900	400	26.7
Income taxation receipts	559,080	575,440	16,360	2.9
Goods and services tax	101,560	103,249	1,688	1.7
Wine equalisation tax	1,210	1,160	-50	-4.1
Luxury car tax	1,180	1,130	-50	-4.2
Excise and customs duty				
Petrol	7,550	7,600	50	0.7
Diesel	18,430	18,560	130	0.7
Other fuel products	1,710	1,720	10	0.6
Tobacco	4,800	3,560	-1,240	-25.8
Beer	2,760	2,810	50	1.8
Spirits	3,280	3,300	20	0.6
Other alcoholic beverages(a)	1,860	1,920	60	3.2
Other customs duty(b)	2,070	1,850	-220	-10.6
less: Refunds and drawbacks	730	730	0	0.0
Total excise and customs duty	41,730	40,590	-1,140	-2.7
Major Bank Levy	1,970	2,020	50	2.5
Agricultural levies	697	671	-26	-3.7
Visa application charges	4,971	6,181	1,211	24.4
Other taxes	6,087	6,660	572	9.4
Indirect taxation receipts	159,406	161,661	2,255	1.4
Taxation receipts	718,486	737,101	18,615	2.6
Sales of goods and services	23,025	23,299	274	1.2
Interest received	9,091	9,636	546	6.0
Dividends and distributions	7,766	7,768	3	0.0
Other non-taxation receipts	18,662	20,293	1,631	8.7
Non-taxation receipts	58,544	60,997	2,453	4.2
Total receipts	777,030	798,098	21,068	2.7
<i>Memorandum:</i>				
<i>Total excise</i>	32,900	33,270	370	1.1
<i>Total customs duty</i>	8,830	7,320	-1,510	-17.1
<i>Capital gains tax(c)</i>	30,700	34,200	3,500	11.4

a) 'Other alcoholic beverages' are those not exceeding 10 per cent by volume of alcohol (excluding beer, brandy and wine).

b) 'Other customs duty' includes duty paid on textiles, clothing and footwear, passenger motor vehicles and other imports that are not subject to excise equivalent duty.

c) 'Capital gains tax' is part of gross other individuals and trusts, company tax and superannuation fund taxes.

Table 5.7: Australian Government general government (cash) receipts

	Actual	Estimates				
	2024-25 \$m	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Individuals and other withholding taxes						
Gross income tax withholding	295,827	315,300	331,100	348,600	367,000	391,100
Gross other individuals and trusts	81,707	89,300	94,100	97,200	102,300	114,300
less: Refunds	39,223	40,400	42,800	46,800	49,700	55,100
Total individuals and other withholding tax	338,312	364,200	382,400	399,000	419,600	450,300
Fringe benefits tax	4,927	5,310	5,580	5,820	6,140	6,590
Company tax	138,762	148,500	154,000	151,700	148,700	151,600
Superannuation fund taxes	25,700	33,060	31,560	31,210	32,310	34,560
Petroleum resource rent tax	1,420	1,400	1,900	1,750	1,550	1,250
Income taxation receipts	509,121	552,470	575,440	589,480	608,300	644,300
Goods and services tax	90,322	96,341	103,249	107,868	114,263	120,191
Wine equalisation tax	1,134	1,110	1,160	1,200	1,240	1,290
Luxury car tax	1,088	1,150	1,130	1,070	1,120	1,160
Excise and customs duty						
Petrol	7,306	6,400	7,600	7,800	7,950	8,050
Diesel	17,262	15,110	18,560	19,560	20,460	21,360
Other fuel products	1,731	1,500	1,720	1,740	1,780	1,830
Tobacco	7,767	4,130	3,560	3,020	2,530	2,140
Beer	2,729	2,710	2,810	2,890	2,990	3,100
Spirits	3,320	3,270	3,300	3,330	3,360	3,380
Other alcoholic beverages(a)	1,789	1,840	1,920	1,990	2,070	2,150
Other customs duty(b)	1,996	1,910	1,850	1,430	960	1,020
less: Refunds and drawbacks	711	1,940	730	730	730	730
Total excise and customs duty	43,188	34,930	40,590	41,030	41,370	42,300
Major Bank Levy	1,768	1,920	2,020	2,100	2,190	2,300
Agricultural levies	664	673	671	710	737	727
Visa application charges	4,154	4,668	6,181	6,742	6,989	7,095
Other taxes	6,403	6,267	6,660	6,762	6,689	6,878
Indirect taxation receipts	148,723	147,059	161,661	167,481	174,598	181,940
Taxation receipts	657,844	699,529	737,101	756,961	782,898	826,240
Sales of goods and services	22,024	21,760	23,299	24,847	25,024	25,042
Interest received	10,545	9,329	9,636	9,696	10,056	10,538
Dividends and distributions	7,262	7,630	7,768	8,304	9,098	9,868
Other non-taxation receipts	19,277	21,523	20,293	23,058	21,307	23,105
Non-taxation receipts	59,107	60,243	60,997	65,906	65,485	68,554
Total receipts	716,951	759,772	798,098	822,867	848,383	894,794
<i>Memorandum:</i>						
Total excise	31,294	28,180	33,270	34,690	36,020	37,300
Total customs duty	11,894	6,750	7,320	6,340	5,350	5,000
Capital gains tax(c)	30,400	33,600	34,200	34,000	34,600	35,900

- a) 'Other alcoholic beverages' are those not exceeding 10 per cent by volume of alcohol (excluding beer, brandy and wine).
- b) 'Other customs duty' includes duty paid on textiles, clothing and footwear, passenger motor vehicles and other imports that are not subject to excise equivalent duty.
- c) 'Capital gains tax' is part of gross other individuals and trusts, company tax and superannuation fund taxes.

Variations in revenue estimates

The revenue estimates are the accrual accounting equivalent of the cash-based receipts estimates. Changes in revenue are generally driven by the same factors as receipts.

Revenues are usually higher than the cash equivalents because the amounts are generally recognised when they are owed rather than when they are paid. The differences between the accrual and cash amounts therefore generally reflect payment timing differences.

Table 5.8 provides a reconciliation of the 2026–27 Budget revenue estimates with those at the 2025–26 MYEFO and 2025 PEFO.

Table 5.8: Reconciliation of Australian Government general government revenue estimates from the 2025–26 MYEFO and the 2025 PEFO

	Estimates					Total
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m	
Revenue at 2025 PEFO	750,268	783,564	815,433	862,511	*	*
Changes from 2025 PEFO to 2025-26 MYEFO						
Effect of policy decisions(a)	-895	-676	-1,334	-971	*	*
Effect of parameter and other variations	16,221	10,718	6,664	2,555	*	*
Total variations	15,325	10,041	5,329	1,584	*	*
Revenue at 2025-26 MYEFO	765,593	793,605	820,762	864,094	*	*
Changes from 2025-26 MYEFO to 2026-27 Budget						
Effect of policy decisions(a)	-3,918	2,537	692	-589	7,618	6,340
Effect of parameter and other variations	11,407	19,186	14,833	-33	*	*
Total variations	7,488	21,723	15,525	-622	*	*
Revenue at 2026-27 Budget	773,081	815,328	836,287	863,473	910,148	4,198,317

* Data is not available.

a) Excludes secondary impacts on public debt interest of policy decisions and offsets from the Contingency Reserve for decisions taken.

Since MYEFO, total revenue has been revised up by \$21.7 billion in 2026–27 and \$42.5 billion over the five years from 2025–26 to 2029–30.

The changes in the individual heads of revenue accrual estimates relative to MYEFO are shown in Tables 5.9 and 5.10, for 2025–26 and 2026–27, respectively. For the 5-year accrual table, the accrual equivalent of Table 5.7, see *Statement 10, Note 3*.

Additional revenue and receipts historical tables are available online and can be accessed at www.budget.gov.au.

Table 5.9: Reconciliation of 2025–26 general government (accrual) revenue

	Estimates		Change on MYEFO	
	MYEFO \$m	Budget \$m	\$m	%
Individuals and other withholding taxes				
Gross income tax withholding	315,800	317,700	1,900	0.6
Gross other individuals and trusts	91,600	95,500	3,900	4.3
less: Refunds	40,600	40,400	-200	-0.5
Total individuals and other withholding tax	366,800	372,800	6,000	1.6
Fringe benefits tax	5,560	5,560	0	0.0
Company tax	147,800	151,300	3,500	2.4
Superannuation fund taxes	29,880	33,050	3,170	10.6
Petroleum resource rent tax	1,820	1,670	-150	-8.2
Income taxation revenue	551,860	564,380	12,520	2.3
Goods and services tax	101,030	100,750	-280	-0.3
Wine equalisation tax	1,110	1,060	-50	-4.5
Luxury car tax	1,130	1,160	30	2.7
Excise and customs duty				
Petrol	7,320	6,320	-1,000	-13.7
Diesel	17,660	14,960	-2,700	-15.3
Other fuel products	1,680	1,500	-180	-10.7
Tobacco	5,450	4,130	-1,320	-24.2
Beer	2,720	2,720	0	0.0
Spirits	3,270	3,270	0	0.0
Other alcoholic beverages(a)	1,810	1,840	30	1.7
Other customs duty(b)	2,010	1,910	-100	-5.0
less: Refunds and drawbacks	1,380	1,940	560	40.6
Total excise and customs duty	40,540	34,710	-5,830	-14.4
Major bank levy	1,900	1,940	40	2.1
Agricultural levies	707	673	-34	-4.8
Visa application charges	4,576	4,668	92	2.0
Other taxes	7,127	7,281	154	2.2
Indirect taxation revenue	158,120	152,242	-5,877	-3.7
Taxation revenue	709,980	716,622	6,643	0.9
Sales of goods and services	21,987	22,213	226	1.0
Interest	10,159	10,216	57	0.6
Dividends and distributions	7,591	7,591	0	0.0
Other non-taxation revenue	15,876	16,439	563	3.5
Non-taxation revenue	55,613	56,459	846	1.5
Total revenue	765,593	773,081	7,488	1.0
<i>Memorandum:</i>				
Total excise	31,760	27,960	-3,800	-12.0
Total customs duty	8,780	6,750	-2,030	-23.1
Capital gains tax(c)	31,500	33,600	2,100	6.7

- a) 'Other alcoholic beverages' are those not exceeding 10 per cent by volume of alcohol (excluding beer, brandy and wine).
- b) 'Other customs duty' includes duty paid on textiles, clothing and footwear, passenger motor vehicles and other imports that are not subject to excise equivalent duty.
- c) 'Capital gains tax' is part of gross other individuals and trusts, company tax and superannuation fund taxes.

Table 5.10: Reconciliation of 2026–27 general government (accrual) revenue

	Estimates		Change on MYEFO	
	MYEFO \$m	Budget \$m	\$m	%
Individuals and other withholding taxes				
Gross income tax withholding	332,200	333,600	1,400	0.4
Gross other individuals and trusts	94,200	100,100	5,900	6.3
<i>less: Refunds</i>	42,400	42,800	400	0.9
Total individuals and other withholding tax	384,000	390,900	6,900	1.8
Fringe benefits tax	5,620	5,830	210	3.7
Company tax	150,500	157,000	6,500	4.3
Superannuation fund taxes	29,140	31,590	2,450	8.4
Petroleum resource rent tax	1,590	1,950	360	22.6
Income taxation revenue	570,850	587,270	16,420	2.9
Goods and services tax	107,240	109,150	1,910	1.8
Wine equalisation tax	1,220	1,170	-50	-4.1
Luxury car tax	1,180	1,110	-70	-5.9
Excise and customs duty				
Petrol	7,570	7,720	150	2.0
Diesel	18,490	18,820	330	1.8
Other fuel products	1,710	1,720	10	0.6
Tobacco	4,800	3,560	-1,240	-25.8
Beer	2,780	2,830	50	1.8
Spirits	3,280	3,300	20	0.6
Other alcoholic beverages(a)	1,860	1,920	60	3.2
Other customs duty(b)	2,070	1,850	-220	-10.6
<i>less: Refunds and drawbacks</i>	730	730	0	0.0
Total excise and customs duty	41,830	40,990	-840	-2.0
Major bank levy	1,990	2,040	50	2.5
Agricultural levies	697	671	-26	-3.7
Visa application charges	4,971	6,181	1,211	24.4
Other taxes	6,927	7,700	773	11.2
Indirect taxation revenue	166,055	169,013	2,957	1.8
Taxation revenue	736,905	756,283	19,377	2.6
Sales of goods and services	23,526	23,821	295	1.3
Interest	10,568	11,224	656	6.2
Dividends and distributions	7,808	7,805	-3	0.0
Other non-taxation revenue	14,798	16,195	1,397	9.4
Non-taxation revenue	56,699	59,045	2,346	4.1
Total revenue	793,605	815,328	21,723	2.7
<i>Memorandum:</i>				
<i>Total excise</i>	33,000	33,670	670	2.0
<i>Total customs duty</i>	8,830	7,320	-1,510	-17.1
<i>Capital gains tax(c)</i>	30,700	34,200	3,500	11.4

- a) 'Other alcoholic beverages' are those not exceeding 10 per cent by volume of alcohol (excluding beer, brandy and wine).
- b) 'Other customs duty' includes duty paid on textiles, clothing and footwear, passenger motor vehicles and other imports that are not subject to excise equivalent duty.
- c) 'Capital gains tax' is part of gross other individuals and trusts, company tax and superannuation fund taxes.

Appendix A: Tax Expenditures

This appendix contains an overview of Australian Government tax expenditures. Section 12 of the *Charter of Budget Honesty Act 1998* requires the publication of an overview of estimated tax expenditures.

The Government published the 2025–26 Tax Expenditures and Insights Statement (TEIS) on 17 December 2025 and this will be updated for tax measures in this Budget in the 2026–27 TEIS. The TEIS provides an estimate of the revenue forgone from tax expenditures, along with distributional analysis on large tax expenditures and commonly utilised features of the tax system.

Tax benchmarks represent a standard tax treatment that applies to similar taxpayers or types of activities. Policy approaches can apply a tax treatment different from a standard approach, which can give rise to positive or negative tax expenditures. The choice of benchmark unavoidably involves some judgment.

Consistent with most OECD countries, estimates of tax expenditures reflect the extent to which they are used, similar to Budget estimates of outlays on demand-driven expenditure programs. This is known as the ‘revenue forgone’ approach which, in practice, involves estimating the difference in revenue between the actual and benchmark tax treatments but, importantly, assuming taxpayer behaviour is the same in each circumstance. Revenue forgone estimates therefore do not indicate the revenue gain to the Budget if a specific tax expenditure was abolished through policy change, as there may be significant changes in taxpayer behaviour.

Care needs to be taken when comparing tax expenditures with direct expenditures as they may measure different things. In addition, estimates from different editions of previously released Statements are generally not directly comparable, because of changes or modifications to—for example—benchmarks, individual tax expenditures, data used or modelling methodology.

Table A.5.1 lists the largest measured tax expenditures for 2025–26 and several personal deduction categories. It is derived from the 2025–26 TEIS and is based on economic parameters as at the publication of MYEFO. It does not include the impact of policy decisions, or changes in the economic outlook since then on tax expenditures. The TEIS is not a statement of policy intent.

The 2025–26 TEIS also contains distributional analysis on some features of the tax system, including deductions for individuals. The items in the deductions category are not tax expenditures, so they do not result in forgone revenue against the benchmark. However, the difference between tax paid with the deduction and tax that would have been paid if the deduction was not claimed has been included in Table A.5.1 for comparison purposes.

Table A.5.1: Estimates of large measured tax expenditures and deductions

Tax type affected	Code	Title	Revenue forgone 2025-26 (\$m)*	Average growth 2021-22 to 2024-25 (%)	Average projected growth over FEs (%)
Positive tax expenditures and deductions					
CGT	E8	Main residence exemption – discount component	32,000	10.3	10.5
Super	C2	Concessional taxation of employer superannuation contributions	29,450	8.2	6.2
Deductions		Rental deductions	29,200	18.0	5.2
CGT	E7	Main residence exemption	28,000	11.3	10.1
Super	C4	Concessional taxation of superannuation earnings	25,950	3.5	5.3
CGT	E15	Discount for individuals and trusts	21,790	8.1	0.8
Deductions		Work-related expenses	12,400	8.7	5.8
Income	A25	Exemption for National Disability Insurance Scheme amounts	12,180	30.0	7.6
GST	H25	Food	9,900	5.0	4.2
GST	H17	Health – medical and health services	6,750	11.1	6.8
Income	A26	Exemption of Child Care Assistance payments	4,600	19.5	5.6
GST	H14	Education	4,450	8.5	7.1
GST	H2	Financial supplies – input taxed treatment	3,800	7.4	4.5
Income	B61	Lower tax rate for small companies	3,800	-1.9	4.1
FBT	D15	Exemption for public benevolent institutions (excluding hospitals)	3,150	9.3	5.4
Income	A23	Concessional taxation of non-superannuation termination benefits	3,100	18.8	N/A
Income	A20	Medicare levy exemption for residents with taxable income below the low-income thresholds	3,050	6.1	0.0
Income	B11	Exemption from interest withholding tax on certain securities	3,000	16.8	-1.0
Income	A37	Exemption of certain income support benefits, pensions or allowances	2,800	15.9	4.0
Super	C3	Concessional taxation of personal superannuation contributions	2,750	17.7	1.6
GST	H5	Child care services	2,570	10.3	4.6
Super	C1	Concessional taxation of capital gains for superannuation funds	2,550	0.0	4.8
Super	C6	Deductibility of life and total and permanent disability insurance premiums provided inside of superannuation	2,450	3.7	6.3
Income	A39	Exemptions of certain veterans' pensions, allowances or benefits, compensation, and particular World War II-related payments for persecution	2,230	31.8	-4.8
Income	B1	Local government bodies income tax exemption	2,090	3.1	1.3

Table A.5.1: Estimates of large measured tax expenditures and deductions (continued)

Tax type affected	Code	Title	Revenue forgone 2025-26 (\$m)*	Average growth 2021-22 to 2024-25 (%)	Average projected growth over FEs (%)
Income	A31	Seniors and pensioners tax offset	2,050	60.4	4.9
Income	B12	Exemption of inbound non-portfolio distributions from income tax	1,980	-6.3	0.0
FBT	D11	Exemption for public and not-for-profit hospitals and public ambulance services	1,900	3.9	3.8
Income	A38	Exemption of Family Tax Benefit payments	1,860	8.4	2.4
Other	F6	Concessional rate of excise levied on aviation gasoline and aviation turbine fuel	1,820	21.9	6.5
GST	H18	Health – residential care, community care and other care services	1,810	7.2	6.8
Deductions		Cost of managing tax affairs and other deductions	1,700	10.7	1.3
Income	A18	Exemption of the Private Health Insurance Rebate	1,550	3.2	1.5
Income	A56	Philanthropy – deduction for gifts to deductible gift recipients	1,400	-4.3	4.3
GST	H6	Water, sewerage and drainage	1,380	6.2	3.7
Income	B81	Capital works expenditure deduction	1,380	3.5	2.6
FBT	D33	Exemption for Electric Vehicles	1,350	N/A	29.4
FBT	D21	Application of statutory formula to value car benefits	1,300	10.1	0.0
Super	C12	Exemption for small business assets held for more than 15 years	1,190	14.9	-2.0
CGT	E32	Small business 50 per cent reduction	1,180	9.0	-1.0
Negative tax expenditures and deductions					
Income	B80	Accelerated depreciation for business entities	-6,500	N/A	-24.0
Income	B86	Simplified depreciation rules	-5,200	N/A	-25.7
Other	F21	Customs duty	-2,030	0.8	-13.2
Income	A21	Medicare levy surcharge	-1,150	18.6	-1.1
Other	F5	Luxury car tax	-1,130	4.2	4.8
Super	C11	Tax on funded superannuation lump sums	-1,050	21.8	2.8
* For deductions, 'Revenue forgone' refers to the reduction in tax in relation to the specified income year due to the utilisation of deductions.					